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Bedford Capital Management

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Dedicated to Mom and Dad

Thank you to all the people who advised me throughout the year, to whom I shared many informative discussions. Thank you to the Professors, Teachers, Authors, Coaches, and Mentors who have all shaped me.

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Although I am a finance student, I am not registered with any governing authority to give investment advice. None of this should be used as financial advice or used as education.

This is my recollection of events for Bedford Capital Management.

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Executive Summary

Over the last 15 months (August 8, 2024 – October 31, 2025), Bedford Capital Management (BCM) generated a cumulative weighted return of **43.15%** across all portfolios (equities and crypto). Over the same period, the S&P 500 returned **28.53%**, implying an excess return of **14.62%** over the broad market.

Focusing on the combined equity portfolios, BCM delivered an annualized Sharpe ratio of **0.85** and Sortino ratio of **2.29**, compared with **0.38** and **0.63** for the S&P 500. Based on monthly returns, annualized volatility was **8.81%** for BCM equities versus **12.17%** for the S&P 500, and the maximum drawdowns were approximately **-4.8%** vs. the S&P of **-9.9%**. All metrics are calculated using monthly returns.

The strategy over this period was a predominantly long, diversified equity approach focused on high-quality businesses purchased at reasonable valuations, with a deliberate tilt toward larger-cap, cash-generative companies given the macro environment. Actively managing the portfolio through selective hedging, reinvestment of cash flows, and periodic position-size and sector adjustments.

Major contributors to performance included: (1) a hedge held through April in response to President Trump's tariff announcement, which materially reduced drawdowns during the subsequent selloff; (2) exposure to AI-related sectors such as technology and semiconductors; and (3) a bias toward large-cap companies that were less dependent on external financing at higher interest rates.

The main lesson learned from this period was to focus on the process behind each investment rather than the outcome alone. I now judge results by whether the decision made sense given the information, risk, and position sizing at the time. An investment that makes money for the wrong reasons is a warning sign, while a loss that followed a disciplined process is still a good decision.

This is a short, favorable sample period in a generally supportive equity environment, and all results are self-reported and unaudited. I view this track record as an encouraging start and a learning tool, not proof of persistent excess returns.

Personal History

My first real experience with the stock market and being an investor was my freshman year of high school. Only a couple of months have passed since my 15th birthday, and like any other kid my age, all I could think about was getting my driver's license and my own car. This was my first motivation, and it later went on to define my relationship with investing and pave my future.

In the confines of my own home, stuck under a worldwide pandemic, I decided to explore additional ways to create some income. I wanted to have a nice car, and my original thought was "if I could only make an additional couple thousand dollars, I'd be able to afford one." This led me to explore various opportunities, but what stuck was investing in the stock market. At the time, I was unsure about investing, let alone having a career in it. My only knowledge of the public markets was what I saw on TV and in movies.

Like probably any other kid, the first time getting into stocks was opening the stocks app on my iPhone. Since this was the height of the pandemic, every ticker displayed was bright red. Although I was ignorant of it at the time, this would be one of the greatest wealth creation events of our era, and where my investing career began. I started by exploring. Seeing which companies I know might be publicly traded and how they were doing. I followed the markets every day and tried to keep up with everything going on in the world due to the pandemic. It wasn't until a while later that I was truly able to recognize the importance of the market. Specifically, the ability to make money off your own money. Although a principle that seems obvious now, it was a revolutionary idea that set off explosions in my 15-year-old head. This is what makes investing a double-edged sword and unlike any job out there. It allows one to create value without selling a physical good or providing a service, but instead with risk and time.

After exploring on my own, I sought advice from someone who lived off their investments. This is where I met George. A family friend's friend who mainly invested through covered call and put options. George and I had a long discussion that day,

lasting over three hours, but single-handedly, this discussion would open a world I wasn't ready for. This is where I was introduced to the literature world of finance and where I was first introduced to "The Intelligent Investor" by Benjamin Graham. Although dated, it's a book that makes a promising appearance in every investor's life. Admittedly, it would sit on my desk collecting dust for years before I finally picked it up.

After the pandemic had ended and things slowly started to return to normal, I put my then-hobby to the side to focus on my education, athletics, and college applications. It wasn't until the Fall of my senior year in high school, when I was already making some investments of my own, that I realized I could make a career out of this. A friend of the family overheard a short conversation I had with my dad about some investment I made, while he was on the phone. He bought into this company, made a small profit, and later offered me to manage some of his own money. This is what I realized I wanted to do as a career. If it wasn't for this event, I'd probably be an engineer or lawyer.

In November of 2023, while at university and living with two other people, I started Bedford Capital Management (BCM). It wasn't until a year later that I changed the name to what is recognized today. I started BCM as an outlet to manage my investments, but also as an excuse to start my own company. There are several traits I carry that made starting a company come naturally.

My family came to the United States from Ukraine with very little and sacrificed a lot for me to have the opportunities that I have. I feel mortally obliged to give back to them using these gifts that I received at birth. Although many people disagree, the United States is still the land of opportunities, and I challenge them to live the same kind of life in post-Soviet Union Ukraine, what is important is not that I have these gifts, but what I decide to do with them. I'm using them to pursue a life that I dreamed of.

The Summer after my freshman year of college was very important to my learning and education. This was the first time in my life that I put athletics aside and focused on my education. Specifically, the educational aspect of starting my business and failing to succeed. I spent copious amounts of time locked in my room staring at my computer, book, or journal. It was long, grueling hours in a closed-off room, with little care for

what was going on in the world outside of me that built me. It is moments like these that sharpen me. It wasn't until the end of this summer, specifically August 8th, 2024, that the path forward began to present itself to me.

This specific date of August 8th, 2024 will be used as a reference point for this document. It is the day that I began to change my strategy and take a different approach to investing. It is not too long after this that I also changed my mindset and began to thrive as an investor. In this document, I will summarize some of the highlights from the past year. I am still a student, and the equity markets have performed really well over the past year, and that one good year of performance doesn't qualify me as an expert in my field. Anyone can perform well against the market over the course of a year. It takes a real expert to have a deep, multiyear track record of performance. It should also be said that throughout this period of time, I also balanced schoolwork and academics, which is my top priority. Achieving an average GPA of this same period of 3.7/4, and two Dean's List appearances.

What follows is a review of Bedford Capital Management's first year: the results, the process behind them, and the lessons I'm using to build a durable long-term track record.

Performance

Rolling Portfolio Results (August 8, 2024, to October 31, 2025)

BCM (Equity and Crypto) Rolling Cumulative Returns: 43.15%

Equity Portfolio 1 Returns: 62.78% Sharpe: 1.01 Sortino: 2.63

Equity Portfolio 2 Returns: 30.51% Sharpe: 0.51 Sortino: 1.64

Combined Equity Portfolios Returns: 45.62% Sharpe: 0.85 Sortino: 2.29

Crypto Returns: 43.52% Sharpe: 0.30 Sortino: 1.01

S&P500 Returns: 28.53% Sharpe: 0.38 Sortino: 0.63

Yearly Portfolio Results (August 8, 2024, to August 8, 2025)

BCM (Equity and Crypto) Yearly Cumulative Returns: 35.15%

Equity Portfolio 1 Returns: 46.69% Sharpe: 0.85 Sortino: 2.36

Equity Portfolio 2 Returns: 23.91% Sharpe: 0.36 Sortino: 1.19

Combined Equity Portfolios Returns: 32.43% Sharpe: 0.67 Sortino: 1.92

Crypto Returns: 47.45% Sharpe: 0.24 Sortino: 0.81

S&P500 Returns: 21.56% Sharpe: 0.31 Sortino: 0.55

Year-to-Date Portfolio Returns (January 1, 2025, to October 31, 2025)

BCM (Equity and Crypto) YTD Cumulative Returns: 29.37%

Equity Portfolio 1 Returns: 33.79% Sharpe: 0.86 Sortino: 2.32

Equity Portfolio 2 Returns: 22.74% Sharpe: 0.58 Sortino: 2.48

Combined Equity Portfolios Returns: 28.29% Sharpe: 0.76 Sortino: 2.41

Crypto Returns: 21.34% Sharpe: 0.25 Sortino: 0.78

S&P500 Returns: 16.38% Sharpe: 0.34 Sortino: 0.42

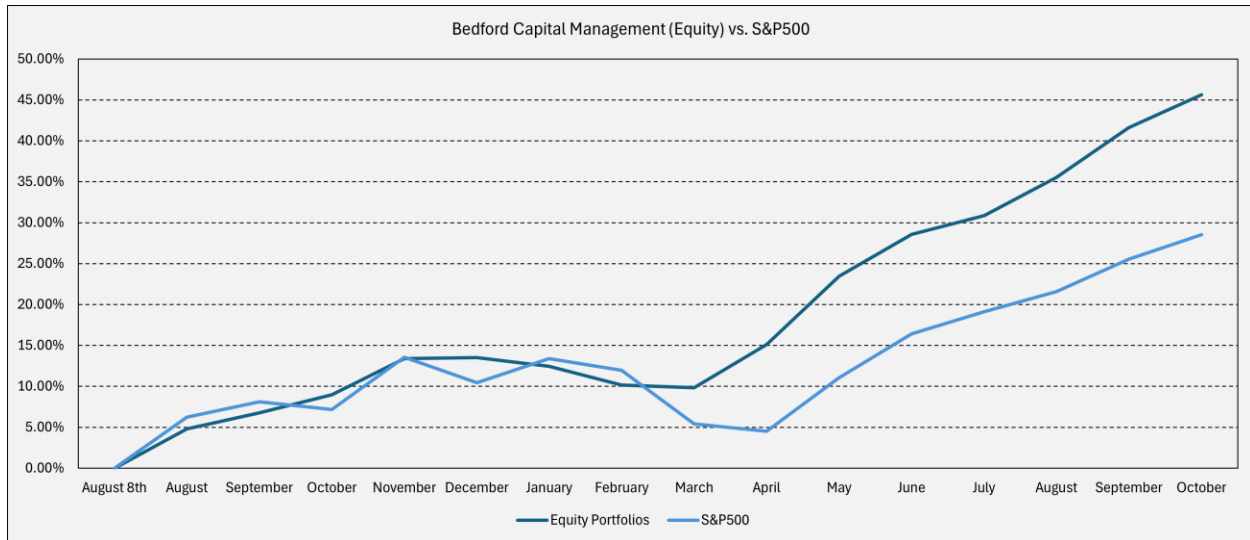
Drawdowns and Volatility

Portfolios	Max Drawdown	Volatility
Rolling Equity 1	-3.44%	10.0%
Rolling Equity 2	-8.2%	9.5%
Combined Rolling	-4.8%	8.8%
Rolling S&P 500	-9.9%	12.2%
Yearly Equity 1	-3.44%	10.6%
Yearly Equity 2	-8.2%	10.0%
Combined Yearly	-4.8%	9.3%
Yearly S&P 500	-9.9%	13.0%
YTD Equity 1	-2.6%	10.4%
YTD Equity 2	-3.7%	10.1%
YTD Combined	-3.2%	10.1%
YTD S&P 500	-9.0%	12.0%

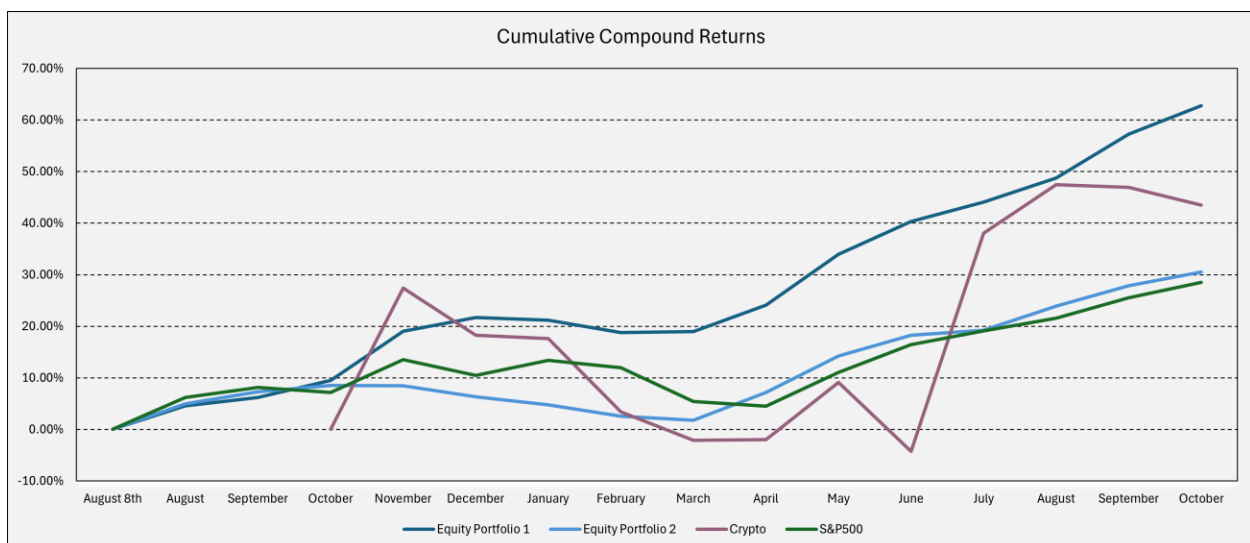
Methodology

The risk-free rate is assumed to be a constant 5% per year, intended to approximate the yield on short-term U.S. Treasury securities over the period. Sharpe and Sortino ratios are computed from monthly excess returns using this risk-free rate and a consistent benchmark across portfolios. Downside deviation is calculated using only months where the portfolio return falls below the risk-free rate. The primary benchmark is the SPDR S&P 500 ETF Trust (SPY), used as a tradable proxy for the S&P 500. Volatility is calculated as the standard deviation of monthly returns, annualized by multiplying by the square root of 12. Max drawdown is calculated by measuring the percentage decline from each portfolio's prior peak value and taking the largest such peak-to-trough loss over the period.

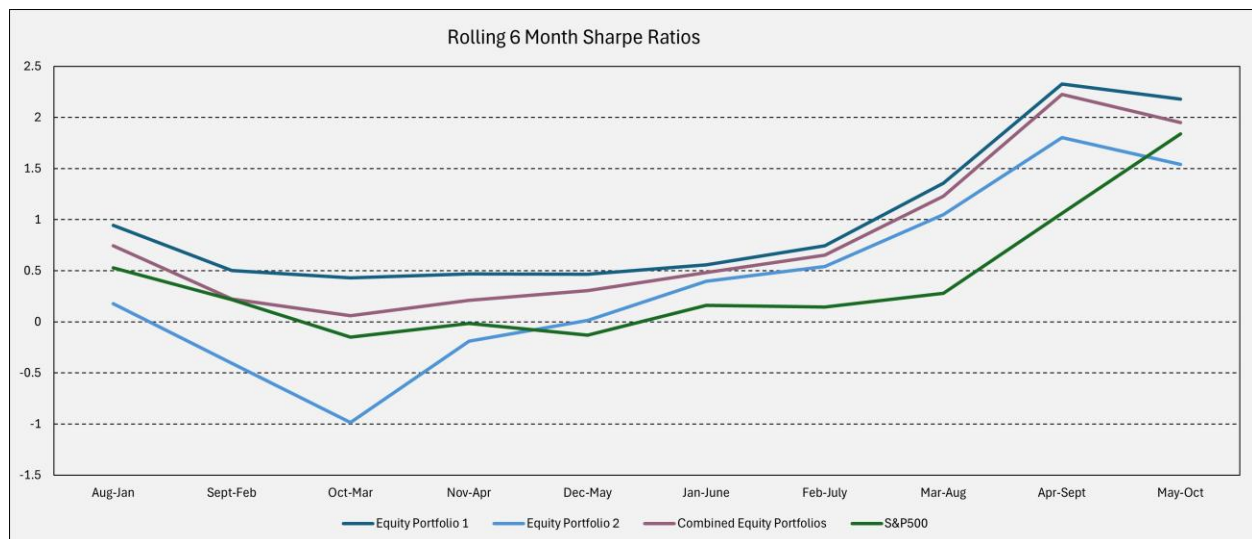
Portfolio Review & Commentary



Over the course of the last 15 months, BCM's combined equity portfolios have outperformed the S&P 500 by over 17%. This is largely due to a large hedge position placed before Trump's Liberation Day tariff announcement (April 2, 2025). I will expand more on this point in a later section. Even without this large hedge, BCM would've still outperformed the S&P 500 by 3.52% from May 2025 to October 2025 with better risk control. I did not include crypto, as to solely focus on the performance of equities. Although it should be said that the crypto portfolio has done well for itself in the last 15 months, returning 43.52%. Nevertheless, my main focus lies on equities.



For my first full year investing, I'm quite proud of what I've been able to accomplish. Not only have I been able to outperform the S&P 500 on a return basis, but also achieved superior risk-adjusted returns on multiple different portfolios with different strategies and different timeframes. Most notably, the largest area of improvement I've been able to make is with Equity Portfolio 2, where it wasn't until after the new year that I was able to smooth out risk and capture upside. This can be seen in the YTD performance section, where Equity Portfolio 2, more notably, outperformed itself on different timeframes on both risk and return metrics.



To more accurately assess risk control, I included this chart of rolling 6-month Sharpe ratios. Computed using 6-month increments to show risk control through different time periods, to better reflect the changing market conditions. Although not as popular, I use a Sortino ratio alongside the Sharpe ratio to emphasize risk control. Since I hedge downward exposure, a Sortino ratio more accurately reflects my approach to risk. Apart from the beginning periods of Equity Portfolio 2, I was able to consistently hold above the S&P 500's Sharpe ratio, even when not explicitly trying to maximize a Sharpe ratio. It should be noted that crypto is not included in this chart, as crypto carries larger volatility and shouldn't be directly compared to equities. Across many of the timeframes, my Sortino ratios exceeded 2.0, reflecting limited downside volatility relative to the 5% risk-free benchmark.

I want to reiterate that, although the last 15 months have been good for me, it is still considered a short time frame for judging investment success. Especially for favorable market conditions in the last 3 years. Many factors play a role when assessing performance, like beta, the economy, current political administration, and, of course, luck. Past performance does not guarantee future results; this does not mean that I will consistently maintain the same level of performance in the future. A one-year track record is insignificant in the world of investing. All results are unaudited and self-reported.

Strategy and Approach

Mindset

In 1900, Louis Bachelier first introduced foundational ideas about random price movements; several decades later, Eugene Fama built off of Louis's idea and later formalized it in his work "Efficient Capital Markets: A Review of Theory and Empirical Work" and later won a Nobel Prize for his work. The Efficient Market Hypothesis (EMH), to put simply, is a theory that capital markets reflect publicly available information at any time. That means that prices are constantly at fair value, and no bargains or discounts can be made. This makes it difficult to get ahead of the S&P or any other benchmark, as it diminishes any advantages; people passively invest broadly in the market and wait for valuations to increase.

Behavioral finance or adaptive markets are counterview ideas to EMH. These ideas state that markets don't always reflect the accurate price of an asset and that people make mistakes when judging the fundamental value of a security. It is also the reason people actively manage their portfolios. Here, people change the proportion of asset classes or mix securities to capitalize on inefficiencies created by other people. This approach also uses timing to enter or exit investments.

Although EMH is taught in hundreds of business classrooms each semester, it isn't a philosophy that I subscribe to. It's an idea that doesn't allow the kind of opportunities that create value. Because the future is uncertain and constantly changing, the markets are also forced to adapt, and that means that the markets are sometimes wrong. People also create large inefficiencies. Hype, biases, and noise can push or pull prices in one direction or another away from the fundamental value. It is these mispricings that create opportunities for active managers. What I do is count cards, but with public markets. I don't estimate what the next hand is going to be. I look for market conditions and stocks that present a favorable edge. I increase exposure when the odds are in my favor, and I decrease exposure when the odds aren't. Over a large enough period of time, this edge is compounded into excess returns. Unlike blackjack, the "deck" always changes, and it is important to reevaluate market conditions.

Portfolio Management and Creation

While creating a portfolio or substituting securities for one another, I consider two main factors. First, is a security profitable? As mentioned in the last section, I look for securities that present a favorable edge, meaning that they increase in value. This is a standard bottom-up approach when investing. Creating portfolios filled with stocks that are deemed to be profitable in the future. The second factor I consider is how an asset affects the overall portfolio exposure.

If, for example, I were to buy a position in a company like Apple, I would first assess if the company would increase in value. This is its own problem that I won't get into, but the basic idea is figuring out if the company is undervalued and why it might be. Once that is figured out and the decision to invest is made, I next calculate how this position in Apple might affect the overall turnout of a portfolio.

Currently, at the time of writing, Apple's stock beta is at 1.1. If my current portfolio's beta exposure is at 1.0 or on par with the S&P 500, then buying a position in Apple would increase my portfolio's beta. Depending on the circumstances, this can be seen as either good or bad. It all depends on the market conditions and strategy used in association with the portfolio.

In addition to things like beta, I might judge the sector exposure of a portfolio. If my portfolio already has a large exposure to technology, say for example 30%. I might be hesitant to add Apple as an investment. Buying an Apple position would only amplify my risk exposure to technology. If I'm especially bullish about technology, I would increase my exposure, and if bearish, then maybe avoid the investment altogether.

Because markets are constantly changing, I think it is important to set constraints. Too much exposure to any single theme, sector, or stock can be damaging. Episodes like the dot-com bubble, when investors crowded into "internet stocks only," are reminders of how concentrated bets can unwind quickly. It is also important to be realistic about uncertainty and timing. Just because a stock appears undervalued does not mean it has to go up immediately, and it can take years for a company's intrinsic value to be recognized.

To avoid being overexposed to risk, I set hard limits on both portfolio beta and sector exposure:

- **Beta cap:** I target a portfolio beta at or below **1.2** versus the S&P 500. This upper bound fits my risk tolerance: it lets me participate in upside during strong markets while avoiding an aggressive, highly levered exposure to broad equity risk.
- **Sector exposure:** I aim to have exposure to at least five different sectors at any time, with no single sector representing more than **35%** of the equity portfolio. This forces me to diversify across different economic drivers, instead of building a portfolio that is effectively just a narrow bet on one theme.

In practice, I look at many dimensions altogether when investing, not just beta and sectors. I use these examples as an easy way to explain my ideology. Overall, the idea is to be able to see the bigger picture along with the individual details. This portfolio-level framework, combined with my bottom-up security selection, has been a key part of how I managed risk and generated my performance over the period covered.

Bedford Capital Management's Philosophy

When I describe what I do to friends and family, I usually say that I “buy good companies, at a good price, while being aware of external market conditions.” This has become the unofficial motto of Bedford Capital Management, and it captures the principles I try to apply every day, in that order of importance.

Figuring out what a “good company” is isn’t an exact science. There is no single formula that separates good from bad businesses, only frameworks and judgment. Lessons from books like *The Intelligent Investor* provide a useful starting point: profitability, cash flows, balance sheet strength, asset quality, and reasonable valuation metrics such as P/E or price-to-book can all help identify high-quality, undervalued companies, particularly on the value side. For growth companies, other variables become more important: reinvested

earnings, revenue growth, gross margins, unit economics, and the underlying drivers of that growth. In practice, I try to look at a range of factors rather than relying on any single metric. The more I understand about the business model, the competitive position, and the risks, the stronger my conviction can be when I do decide to invest.

The second part of the philosophy is “at a good price.” To me, that means a situation where the company’s current market value is below a conservative estimate of its future value. Valuing companies is also not an exact science. Most of what we deal with in markets involves assumptions about the future, and even professional analysts are only directionally right some of the time. Tools like discounted cash flow (DCF) models can be a strong starting point for estimating intrinsic value, but they are highly sensitive to growth and margin assumptions. In some cases, the market may be willing to pay far above any reasonable intrinsic value estimate for a popular or highly speculative stock. In those situations, I lean more on comparable company analysis, scenario work, and a healthy respect for how quickly sentiment can change. I do not expect to know a company’s “true” value with precision, but I aim to build a body of evidence across fundamentals, scenarios, and relative valuation that suggests a favorable risk–reward profile.

The final part of the philosophy is “while being aware of external market conditions.” Even the best companies in the world, at competitive price points, can fail to trade upwards if the market environment is inadequate. Paying attention to outside factors like interest rates, trade, politics, and macroeconomic factors is important when making an investment decision. For example, high interest rates can increase borrowing costs. Making it more difficult for smaller businesses and companies with little cash on hand to grow. Or if the current administration is favoring a certain sector, it can push those companies to grow more rapidly. It’s important to adjust portfolios, strategies, and outlook due to these outside circumstances. Picking stocks needs to be combined with awareness of their environment to make a proper decision.

The philosophy I use is generalizable and can be applied widely across many firms. It’s a reminder of what to do, how to do, and what to pay attention to, and the best investments are made when all three parts of the statement work in unison.

Case Studies

Liberation Day Hedge and Aftermath

Shortly after formalizing my fund strategy, the 2024 U.S. presidential election created a clear macro-overhang. Donald Trump's campaign leaned heavily on the idea of fixing international trade through tariffs, and his prior term had already shown a willingness to use tariffs on steel, aluminum, and other imports. A few months into his second term, the administration announced a major press event to unveil new policy changes related to trade. This event was referred to as Liberation Day (April 2, 2025).

For me, this was a textbook example of how politics, policy, and markets can collide. Four elements stood out:

- A newly elected president explicitly promising tariff-based economic change
- A prior track record of following through with tariffs
- A highly publicized event focused specifically on trade
- Large changes that affect the cash flow of companies

Taken together, they pointed to a higher probability of a negative market reaction, especially in manufacturing-heavy businesses. My job is not to predict the exact headline or price move, but to recognize when the distribution of outcomes skews to the downside. In this case, the balance of information suggested that the risk of a sharp drawdown outweighed the upside.

With that in mind, I put a hedge in place to reduce my downside if markets sold off. This hedge was mostly through cash, options, and an inverse ETF. The goal was not to "call the top," but to lower my net exposure into a known event that could largely affect market sentiment.

Moments after the announcement, the market response was brutal. Within days, the S&P 500 fell nearly 20% from its recent high. My portfolio still declined, but the losses were meaningfully smaller, around 8–9% at the worst point, because the hedge absorbed part of the shock and I cut my exposure by half.

The second part of the event was just as important. Because my portfolios were partially protected. Instead of chasing whatever had fallen the most, I focused on companies whose fundamentals were least affected by tariffs. Businesses that were less reliant on manufacturing physical goods and more so on services and the internet.

Alphabet, Google's parent company, was a good example. It is primarily an online, advertising-driven business, supported by strong cash flows and backed by trends like AI.

Tariffs can indirectly affect advertisers' budgets, but they do not directly impair Google's core products in the way they threaten manufacturers or commodity producers. Yet Alphabet's stock had sold off sharply with the broader market, simply for market exposure. This presented an excellent opportunity to invest.

This event captures my approach to risk and investing: I looked for evidence of large price movements that can skew market expectations and make decisions accordingly. While also looking for opportunities outside the noise. This event was the largest reason I was able to produce the kind of results I could for the fund, but this mindset carries over into all aspects of decision-making.

Chocolate Investment

Late last fall, shares of The Hershey Company (HSY) broke a key support level and fell roughly 30% between November 2024 and February 2025. On the surface, this was a sharp move for a traditionally defensive consumer staple with strong brands and a long history of steady cash flows and dividends. Looking deeper, the selloff was largely driven by an extreme spike in cocoa and coffee futures over the same period.

The core issue was a supply shock. In West Africa, where most of the world's cocoa beans are grown, storms and disease significantly damaged crops. This region supplies close to 70% of global cocoa, so the disruption puts substantial stress on the supply chain for chocolate and confectionery producers worldwide. As cocoa prices spiked, Hershey's cost structure was hit directly.

For a company like Hershey, cocoa is one of the largest single input costs. Estimates suggest that roughly 20% of the cost of goods sold is tied to cocoa. A rapid increase in that input cost compresses margins, pressures earnings, and understandably weighs on the stock in the short term. Investors became concerned that elevated cocoa prices would persist and materially erode Hershey's profitability.

My view was that this was a classic, but temporary, supply-and-demand imbalance. Similar dynamics played out in early 2025 when egg prices surged due to avian flu; once supply recovered, prices gradually reverted toward more normal levels. Cocoa prices may be volatile, but they are still part of a commodity cycle. At the same time, Hershey has meaningful pricing power and a loyal customer base, which allows it to pass through some cost increases over time rather than absorbing them indefinitely.

This combination, a high-quality business facing a temporary cost shock and a sharp stock price decline, created a favorable setup. It appeared that the market was extrapolating short-term margin pressure too far into the future and marking down Hershey as if the

current conditions were permanent. In my view, that disconnect between a cyclical commodity shock and the durability of the underlying business was an opportunity.

I bought a position in Hershey with the expectation that cocoa prices would normalize over the next growing seasons and that the company would gradually adjust prices and protect margins. In portfolio terms, HSY also added a defensive, lower-beta consumer staple to balance some of my more cyclical and growth-oriented holdings. For this investment, I was long, but next time a similar opportunity arises, I'd want to pair trade this with a short in coffee or cocoa futures, or hedge this with futures for a smoother return profile.

In this case, the external condition was a severe but temporary input cost shock. Rather than avoiding the name because of scary commodity headlines, I used the volatility to enter a high-quality business at a more attractive valuation, with a clear thesis anchored in mean reversion and pricing power.

Meta Earnings Press Release

On October 29, 2025, Meta released a press release detailing its 2025 Q3 earnings report. In this report, many key details showed the health of the company. Revenue reached an all-time high, increasing by over 26% from the previous year. Operating income was up 18%, and ad impressions were up 14%. Margins slightly decreased from 43% to 40%, but are still at a very high, respectable level.

Unexpectedly, the next day, Meta's stock dropped from \$750 to a low of about \$650. Despite these positive signs of growth, the market response was sharply negative. Wiping out over \$100 billion in market valuation.

Diving deeper into the press release, we can quickly see why Meta's stock didn't perform the way it intended to. Earnings per share (EPS) for the quarter were \$1.05, a decrease of 83% from last year's earnings of \$6.03 EPS. Taken at face value, this suggests a collapse in profitability and understandably shook investor sentiment toward a market-leading company like Meta, and also affects the AI sector sentiment, as Meta is a leader in AI technology as well.

On the very first page of the press release, there is a provision explaining this large decrease in earnings:

In millions, except percentages and per share amounts	Three Months Ended September 30,		% Change
	2025	2024	
Revenue	\$ 51,242	\$ 40,589	26 %
Costs and expenses	30,707	23,239	32 %
Income from operations	\$ 20,535	\$ 17,350	18 %
Operating margin	40 %	43 %	
Provision for income taxes	\$ 18,954	\$ 2,134	788 %
Effective tax rate	87 %	12 %	
Net income	\$ 2,709	\$ 15,688	(83) %
Diluted earnings per share (EPS)	\$ 1.05	\$ 6.03	(83) %

Provision for Income Taxes - One-Time, Non-Cash Charge Impact

We expect a significant reduction in our U.S. federal cash tax payments for the remainder of 2025 and future years due to the implementation of the One Big Beautiful Bill Act. However, the implementation also led to the recognition of a valuation allowance against our U.S. federal deferred tax assets, reflecting the impact of the U.S. Corporate Alternative Minimum Tax. As a result, the third quarter 2025 provision for income taxes includes a one-time, non-cash income tax charge of \$15.93 billion. Excluding this one-time tax charge, our third quarter 2025:

1

As shown, the statement suggests that the large difference in earnings from the previous year wasn't due to a problem retaining income, but to a one-time tax charge related to changes in U.S. tax legislation. Following this statement, there is a portion that explains what would've happened if it weren't for this large tax payment. Most notably, EPS would have been \$7.25 on this adjusted basis, not only an increase of over 20% from the previous year, but also a result that would have beaten Wall Street expectations

This is only a large one-time tax payment, Meta won't suffer any significant business changes, as long as earnings stay relatively unchanged.

Additionally, if we use the 7.25 EPS to calculate the yearly P/E ratio of Meta, we find that Meta trades at a significantly lower multiple than its peers in the Magnificent 7 (Mag 7). Comparatively, the Mag 7 stocks trade at P/E ratios ranging from roughly 26x (GOOGL) to 54x (NVDA), excluding TSLA due to its abnormally high multiple. On a normalized basis using \$7.25 in EPS, Meta's implied P/E compresses to about 23x, versus roughly 27x before this most recent earnings release.

Company	Ticker	P/E Ratio (Approximated)
Apple	AAPL	39x
Microsoft	MSFT	38x
Alphabet	GOOGL	26x
Nvidia	NVDA	54x
Amazon	AMZN	34x
Tesla	TSLA	260x
Meta (current)	META	26x
Meta (adjusted)	META	23x

Valuation as of the End of October

Although this event might affect short-term cash flows and valuations, this event shouldn't affect Meta's long-term ability to generate cash flows and profits. The reason Meta's stock decreased in value wasn't because of a fundamental shift in business structure, but because of ugly GAAP accounting numbers. It also doesn't help the stock's price when the next day, the press reports on metrics that aren't important to the fundamentals of the company. Only adding to the noise. Due to the large stigma from Wall Street on short-term growth, Meta created a buying opportunity for investors who have a longer-term view. For Bedford Capital Management, this was a textbook example of how short-term pressure and headline-driven selling can create an opportunity for investors willing to focus on fundamentals and long-term strength.

Education

Howard Marks and Michael Mauboussin

I take my self-education seriously and am always looking for books that challenge my perspective and expose me to new ideas. I've read classic, technical, and more philosophical works on investing and markets.

My early foundation came from Benjamin Graham's *The Intelligent Investor*. It taught me the basics of thinking like an owner, the idea of a margin of safety, and concepts like "Mr. Market," crowd psychology, and filtering out noise. While some parts of the book are dated, many of its core principles still apply and continue to influence how I think about value and behavior.

More recently, I've been reading Howard Marks's memos. They offer a clear, experience-driven view on risk, cycles, and what he calls "second-level thinking." A recurring theme is rational, long-term decision-making in an environment that often rewards short-term performance. His writing has pushed me to care less about daily price movements and more about whether I'm deploying capital sensibly, given the broader environment. As seen in the Meta case study, short-term overreactions can be harmful in the moment, but they can also create opportunities for investors willing to think several years ahead.

I've also been studying Michael Mauboussin, especially *More Than You Know*. His work is less about specific securities and more about how to think: probabilities, base rates, incentives, and the distinction between process and outcome. That has reinforced my focus on building a repeatable decision process and judging investments by the quality of that process, not just whether the last trade happened to make or lose money.

Mathematics for Finance: An Introduction to Financial Engineering

Written by Marek Capiński and Tomasz Zastawniak, *Mathematics for Finance* is a book that dives into the math and theory behind finance. It talks about a lot of difficult subjects and how to convert them into the real world.

It's a book that I'm still in the middle of, so I won't go too in-depth into it, but I originally picked it up to further my knowledge of financial optimization and math. It's mostly meant for math students looking to bridge their knowledge into the financial world. The notations can be difficult to interpret and definitely require rereading sections a couple of times to solidify the concepts.

It provides a unique perspective for me as I'm someone who is naturally drawn to behavioral finance more than financial mathematics. It's something that challenges me to think about the public markets differently and further my knowledge on a subject that I might not intimately understand.

Different theories like portfolio management and optimization have challenged me to think more systematically about investments with variance, covariance, and other theories. Being more risk-conscious about a particular asset, or how it affects my portfolio, is something that I have previously mentioned in the strategy and approach sections of this report. Additionally, being more aware of leverage is something that I've become more conscious of. Although I don't explicitly use leverage, leverage is a large part of finance and investing, and if I want to grow and become like these large institutions, it's something that I'll have to become more aware of.

Other People

Single-handedly, the biggest driver of intellectual growth for me has been talking with other people. Reaching out and asking for advice as a student has allowed me to speak with professionals whom I aspire to be like. It's opened up many different doors for me, and it is something that I continue to do.

Speaking with professionals and getting their opinions on topics or processes has allowed me to understand the way investors think about problems in the professional world and apply it to myself. Due to my reaching out to people, I've been able to get information that I hadn't even thought about.

I've spoken with various professors, portfolio managers, analysts, quants, researchers, and hedge fund managers. Each of them has their own unique perspectives that offer insights into what they do and how they do it. As a student, I'm at the bottom of a very long food chain and still have so much to learn, but even a short 30-minute conversation with someone who has experienced or taught finance at a high level has opened me to new possibilities.

Each time I talk with someone, I think about it as "leveling up" from a video game; the same could be applied to reading books as well. Each time I absorb new information, I progress, even if it's a little over time. It eventually compounds, and my job becomes a little easier.

The most influential conversation I've had was with a PM who runs his own investment firm with his partner. He opened me up to different ideas that I hadn't previously experienced, especially since this was the end of my freshman year of college.

Mindset was the biggest idea I took away from him. Looking for ideas is something that I hadn't yet understood, and he introduced me to the way investors function.

We had only spoken a small number of times; each time we did, I tried to absorb as much as I possibly could. I didn't take anything for granted. After our conversations, I would journal about these ideas and research to try to expand more on them. This led me to dive deeper into the world of finance and eventually led me to become who I am today.

Going Forward

In the last year, I've been able to accomplish a lot and grow from both my successes and my mistakes. I don't intend to stop. Growth has become a personal virtue and the main focus of my work through Bedford Capital Management.

There is still a lot I'm working on that hasn't been mentioned in previous sections. Coding, mathematics, and relationship-building are three areas I've been focusing on over the last several months, but there are many more topics I could write about at length.

Although my results are competitive against the market and far above those of most students my age, they're not the part I value most. What matters more is being able to build something from the ground up that motivates me to give my best effort. I don't want to be mistaken, I'm very proud of my performance. Beating the S&P 500 on both returns and risk metrics as a student is something worth being proud of. But starting something of my own and watching it grow has been even more satisfying than I expected.

I plan to continue growing both myself and Bedford Capital Management. Reading is a large part of that plan. My reading list is already long and I add new books faster than I can get through the old ones. At the same time, as I write this, the United States economy and stock market are facing a significant amount of uncertainty. There are conversations about a potential bubble in artificial intelligence, and the Federal Reserve is struggling to manage its dual mandate. These are just two of the more visible variables; many others are always on the horizon.

Whatever the future holds, I'm confident it will make for an interesting story a few years from now. I welcome uncertainty and the economic pressure that comes with it. Hardship is one of the best tests of strength, and it creates opportunities for growth. The most successful people in the world have all faced some form of adversity in pursuit of their goals, and I know that I will share these experiences in my personal and professional lives.

When it does, I intend to meet it head-on. I may not control markets or macro events, but I do control my preparation, my decisions, and my resilience. In that sense, I am responsible for my own trajectory, and that's exactly how I want it.